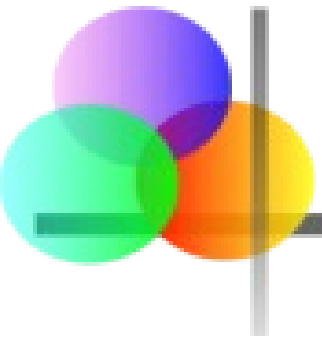




Chapter One

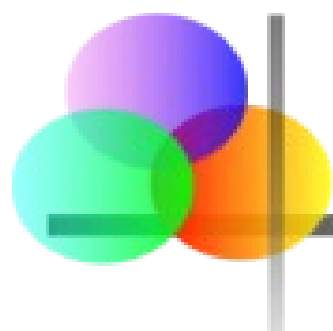
Accounting for Investment in Joint Arrangement(Joint operation, joint venture) and Associates

Learning Objectives



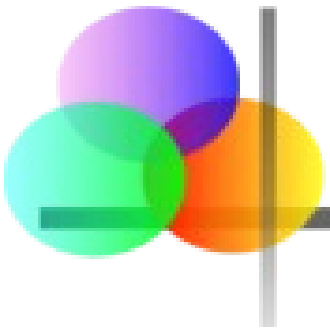
At the completion of studying this chapter, you will be able to:

- *Defines joint control and associate*
- *Determine the type of joint arrangement;*
- *Understand how to account for the investment in a joint arrangement*
- *Understand how to account for the investment in associate*



List of Applicable IFRS Standards

Topic List	Standards
Joint Arrangement	IFRS 11
Investment in Associates and Joint Ventures	IAS 28
Consolidated Financial Statements	IFRS-10
Financial Instruments	IFRS-9

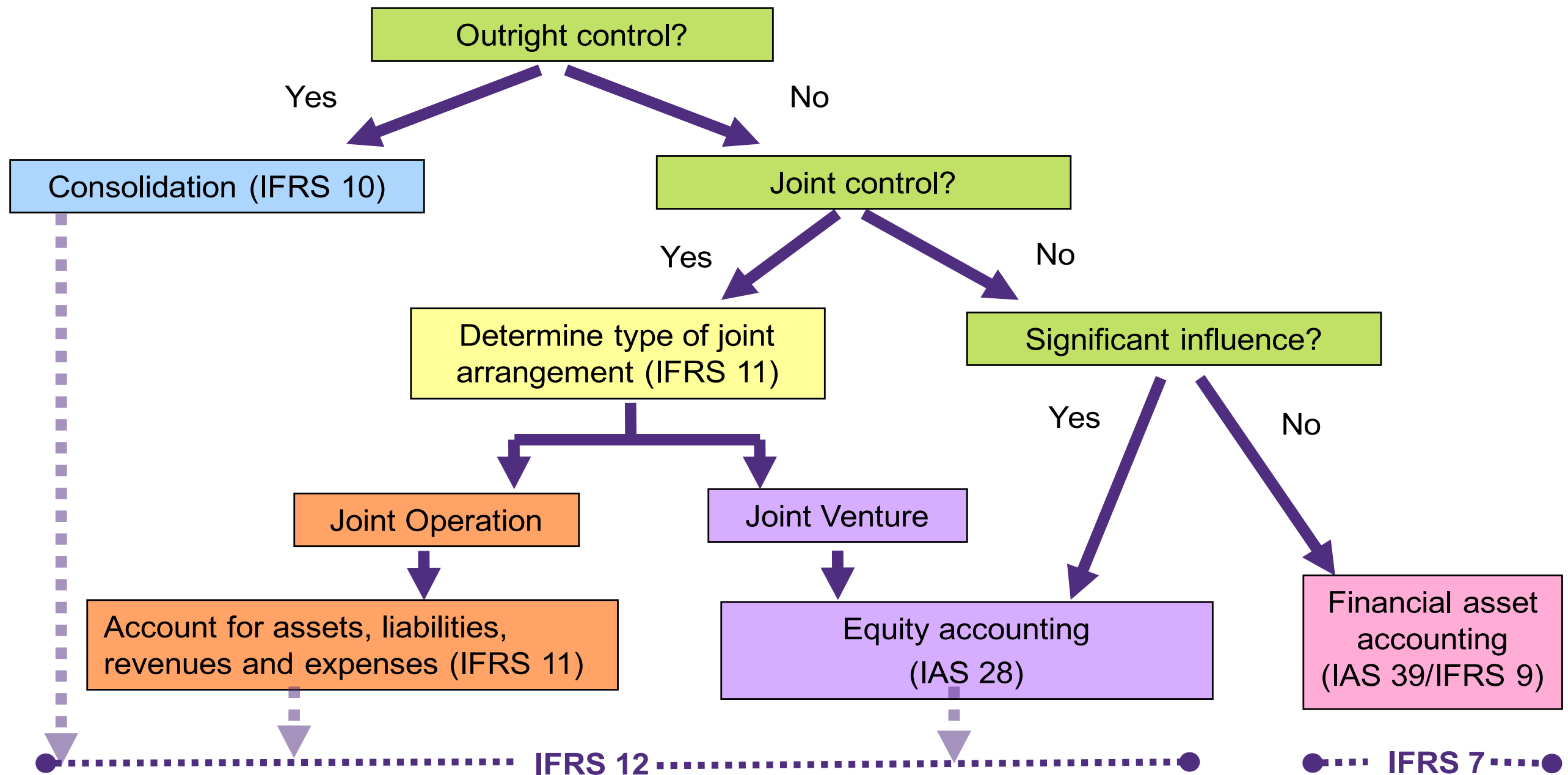


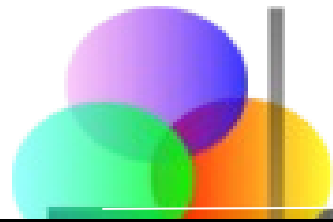
Investment

- An entity may conduct its business through **strategic investments in other entities**.
- IFRS broadly distinguishes three types of such strategic investment:
 - The investor entities **controls the investee company**
 - The investor entities **jointly control** the investee company with one or more third parties; and
 - The investor entities **has significant influence** over investee company

Determining the accounting standards for Investment in other entities

(Interaction of IFRS 9, 10, 11, 12 and IAS 28)



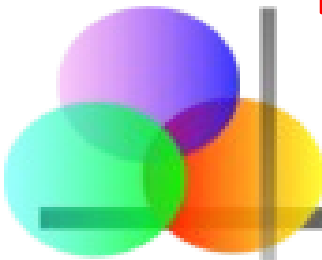


Degree of influence over 'investees' & the relevant IFRS investment standards

Degree of influence	IFRS accounting
Unilateral Control	Account for investment according to IFRS 10(Consolidated Financial Statements)
Joint control (joint arrangements)	Joint operation: Account for assets and liabilities using IFRS 11 Joint Arrangements.
	Joint venture: Account for investment using the equity method in accordance with IAS 28
Significant influence	Account for investment using the equity method in accordance with IAS 28
Less than significant	Account for investment using the fair value model in accordance with IFRS 9

Investment Standards

Description	IFRS-9	IFRS-10	IFRS-11	IAS-28
Name of the standard	Financial Instrument	Consolidated Financial Statement	Joint Arrangement	Investment in associate & Joint venture
Accounting Method	•Account for Investment at fair value •Report gain /loss from change in fair value in P/L or OCI •Dividend by investee is reported as income •No Consolidation, only separate F.S	•Equity method + consolidation • Investment is initially recorded at cost and subsequently adjusted for profit /loss of subsidiary and dividend of subsidiary •Two reports are produced(separate and Consolidated Financial Statement)	•Equity method + proportional consolidation • Investment is initially recorded at cost and subsequently adjusted for profit /loss of subsidiary and dividend of subsidiary •Two reports are produced(separate and proportionally Consolidated Financial Statement)	•Equity method of accounting for investment •No Consolidation, only separate F.S

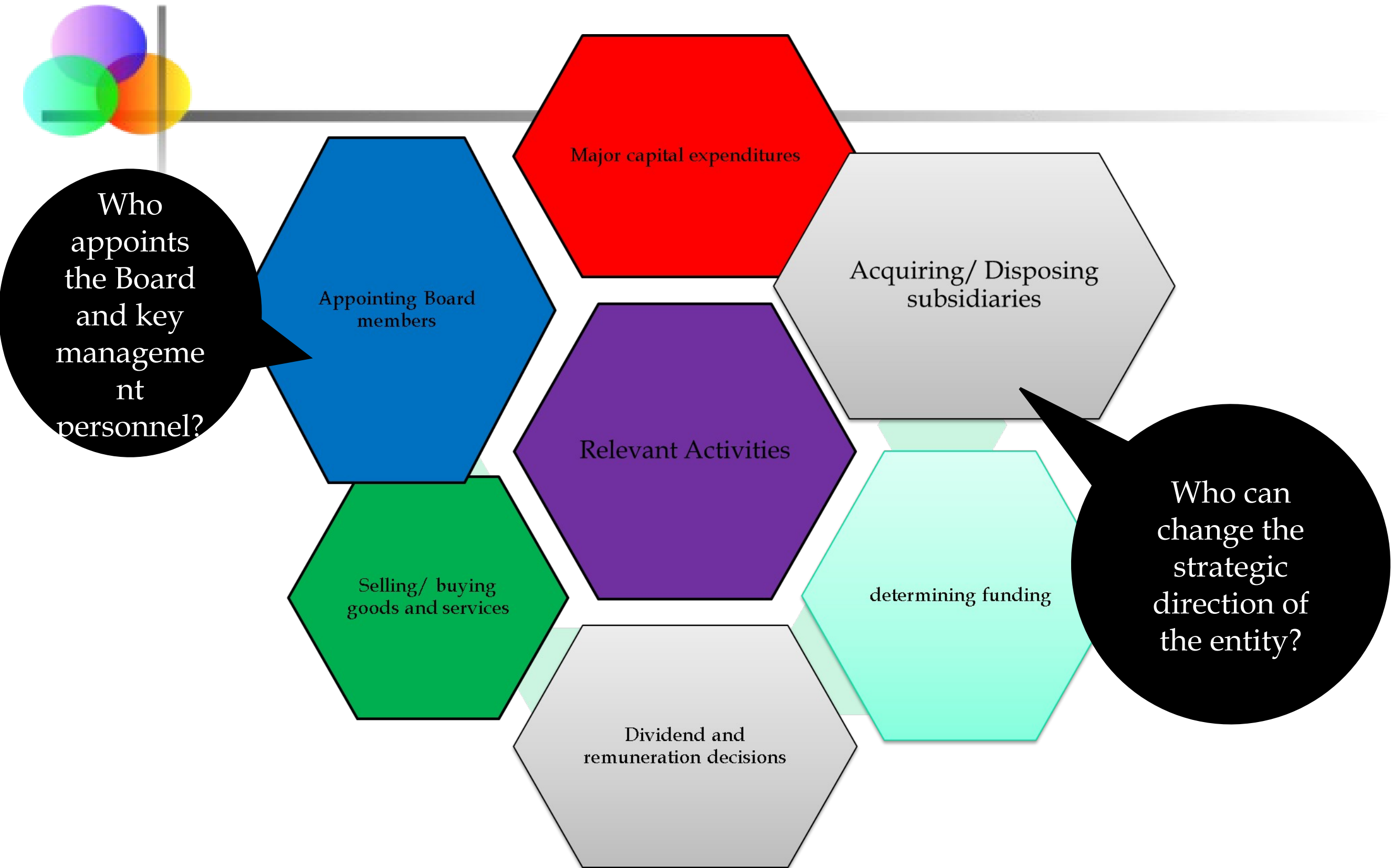


Investment in Joint Arrangement

Basic Concepts and Terminologies

- **Joint arrangement:** is an investment arrangement of which two or more investor companies **have joint control over a investee company.**
- **Joint control :** Exists only when decisions about the relevant activities (major decisions) of investee require the **unanimous consent** of two or more investor s sharing control.
- **Unanimous consent:** means that any party within the arrangement **can prevent** other party from making unilateral decisions without its consent.

Decisions that need Unanimous consent



Relevant activities are those activities that significantly affect the investee's return.



Example: Testing Existence of Joint control

- ❖ The existence of joint control:
 - ❖ May be **explicitly** stated in the contract, bylaws **or** article of association
 - ❖ **Implied** in bylaws **or** the article of association and needs our judgment to determine whether there exist or not.



Example 1:

Three Firms : **Belayab Motors** , **Lifan Motors** and **Marathon Motors** have established **A Tire mfg Factory** with a capital of \$ 500 million . **Belayab** has 55%, **Lifan** has 15% and **Marathon** has 30% ownership rights in the new factory.

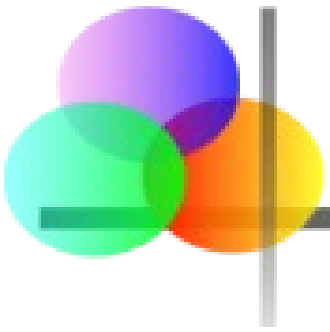
- The contractual agreement reached between the owners indicate that **unanimous consent of all the parties** is required to make decisions about the new factories relevant activities .
- **Required:**
- Identify Investor company having single control, joint control, significant influence or no significant influence over investee
- which standard should be used by the three firms to account its investment?
Accounting Method



Example 1:1

Three Firms : **Belayab Motors** , **Lifan Motors** and **Marathon Motors** have established **A Tire mfg Factory** with a capital of \$ 500 million . **Belayab** has 55%, **Lifan** has 15% and **Marathon** has 30% ownership rights in the new factory.

- The tire factory's bylaws demands majority vote(at least 50+1%) to make decisions about the new factories relevant activities .
- **Required:**
- Identify Investor company having single control, joint control, significant influence or no significant influence over investee
- which standard should be used by the three firms to account its investment? Accounting Method

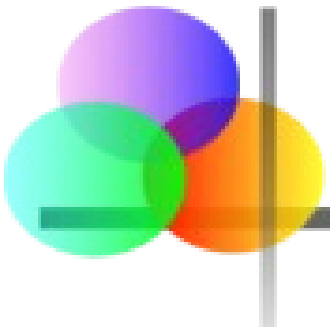


Example 2:

- Assume the previous data that the new factory is established between **Belayab** and **Lifan** only. Each has 50% ownership interest
- The article of association between the two owners indicate that at least 51% of the voting rights are required to make decisions about the entity's **relevant activities**.

Required:

- Identify Investor company having single control, joint control, significant influence or no significant influence
- which standard should be used by the two firms to account its investment? Accounting Method



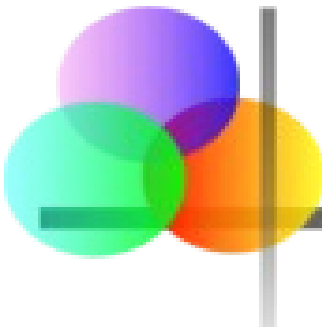
Example 2:1

- Assume the new factory is established between **Belayab** and **Lifan** only. Belayab has 85% ownership interest and Lifan owns the remaining
- The article of association indicates that at least 75% of the votes are required to make decisions about the entity's **relevant activities**.

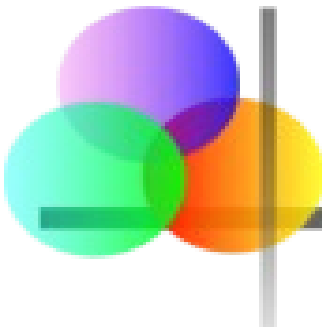
Required:

- Identify Investor company having single control, joint control, significant influence or no significant influence
- which standard should be used by the two firms to account its investment? Accounting Method

Example 3:

- 
- Three enterprises (**Belayab** , **Lifan** and **Marathon Motors**) have established the factory with ownership interest of
 - **Belayab** 50% , **Lifan** 30% and **Marathon** 20% . Their article of association indicate that at least 75% of the voting rights are required to make decisions about the entity's relevant activities.
 - **Required:**
 - Identify Investor company having single control, joint control, significant influence or no significant influence
 - which standard should be used by the three firms to account its investment? Accounting Method

Example 3: 1

- 
- Three enterprises (**Belayab** , **Lifan** and **Marathon Motors**) have established the factory with ownership interest of
 - **Belayab** 50% , **Lifan** 30% and **Marathon** 20% . Their article of association indicate that at least 81% of the voting rights are required to make decisions about the entity's relevant activities.
 - **Required:**
 - Identify Investor company having single control, joint control, significant influence or no significant influence
 - which standard should be used by the three firms to account its investment? Accounting Method



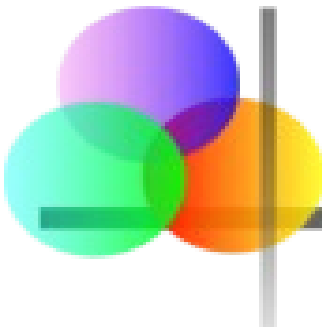
Example 4

- What if
- **Belayab** 50% , **Lifan** 25% and **Marathon** 25% , . Their article of association indicate that at least 75% of the voting rights are required to make decisions about the entity's relevant activities.
- Required:
- Assess the existence of single control, joint control, significant influence or no significant influence
- which standard should be used by the three firms to account its investment? Accounting Method

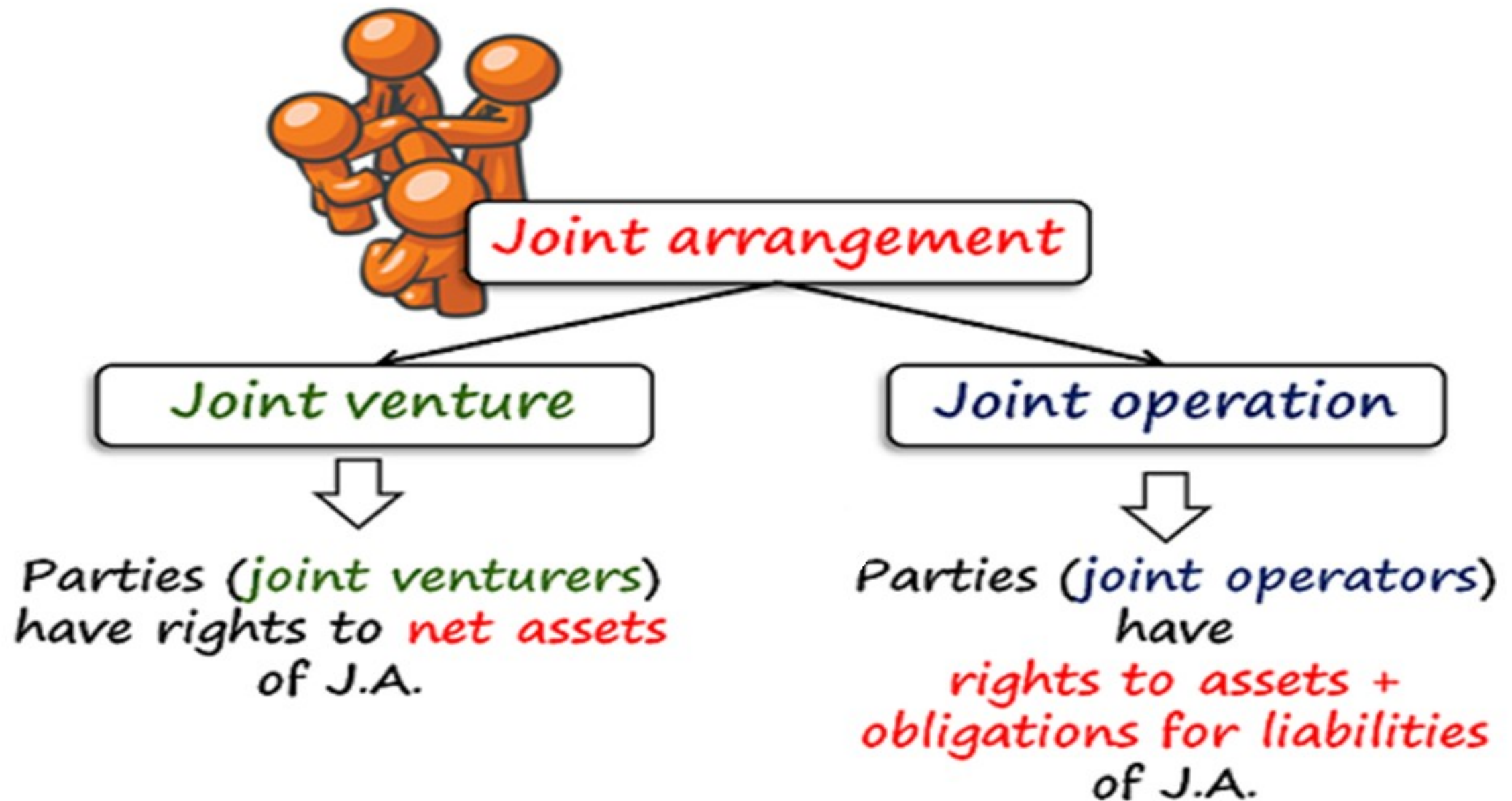


Types of Joint Arrangement

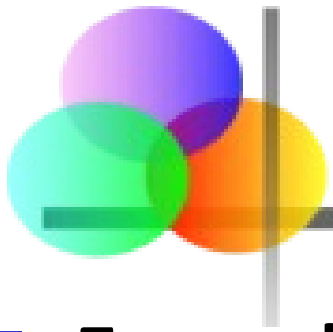
- Joint arrangements are Investees over which 2/more investors have joint control
- IFRS11 identifies two types of joint arrangements :
 1. **Joint operations**
 2. **Joint ventures.**
- The key distinction between the two forms is **the owners' rights and obligations** under the joint arrangement .
- **Joint Operation:** is a joint arrangement whereby the parties in the joint control **have rights to the assets**, and **obligations for the liabilities** of the arrangement.
- **Joint Venture:** is a joint arrangement whereby the parties in the joint control of the arrangement have rights to the **net assets** of the arrangement.



Types of Joint Arrangement cont..



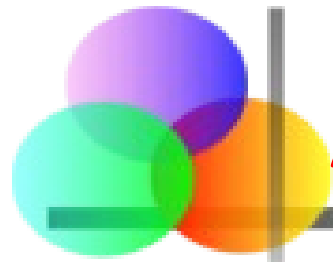
Determination of separate entity as joint operation or joint venture



- **Example 1:** Berta and Satcon construction have jointly formed a new company (**KK Construction**) to undertake contraction projects that demands beyond their individual capacity. KK was formed with each partner investing ETB 100 million . Both have 50% ownership interest in KK and the major decisions of KK requires a 50+1% vote.
- KK company has General partnership in **legal form** .
- **Required:**
 - a. Determine weather the new entity is joint operation or joint venture?
 - b. Which standards are used by Berta and Satcon to account their investment in **KK Construction**?

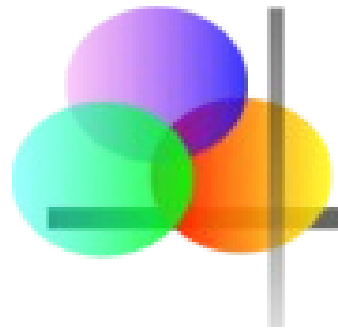


- **Example 2:** Berta and Satcon construction have jointly formed a new company (**KK Construction**) to undertake contraction projects that demands beyond their individual capacity. KK was formed with each partner investing ETB 100 million . Both have 50% ownership interest in KK and the major decisions of KK requires a 50+1% vote.
- KK company is a PLC in **legal form** .
 - a. **Determine weather the new entity is joint operation or joint venture?**
 - b. **Which standards are used by the two to account their investment in KK Company?**



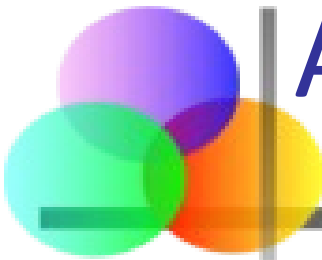
Accounting for investment in Joint Operation(IFRS-11)

- If the Investment is made in a joint operation :
- The joint operator(investor) recognizes line-by-line the following in relation to its interest in a joint operation(investee) :
 - Its assets, including its share in the assets of joint operation
 - Its liabilities, including its share in the liabilities of joint operation
 - Its revenue , including its share in the revenue of the joint operation
 - Its expenses, including its share in the expenses of the joint operation



Investment in Joint Operation Cont...

- The method is also called Proportionate consolidation method or line by line accounting.
- Investor companies are supposed to prepare two reports:
 1. Their own separate financial statement
 2. Proportionally consolidated financial statement



Accounting for investment in Joint Venture

- If the investment is joint venture(IAS28):
 - the Joint venturers(investors) account only for their interest in the joint venture(investee) based on equity method of accounting/ Single line accounting
- **Equity method** : is a method of accounting for investment whereby the investor initially recognizes its investment at cost and subsequently adjusts for :
 - Its share in profit or loss of the investee/joint venture,
 - Its share in dividend made by investee/joint venture.
- The financial statement prepared by investor company is only separate financial statement.

Example :

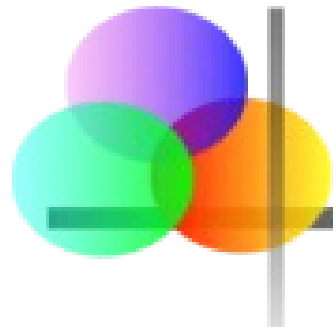


Addis Tire factory is a company formed between **Belayab** and **Marathon motors** on Jan 1, 2006 by investing ETB. 320,000 each for a 50% interest in the factory . After operating for a year, **Addis** has summarized the following financial statements. Their bylaw requires at least 51% vote on decision of relevant activities

Addis / P&L Statement

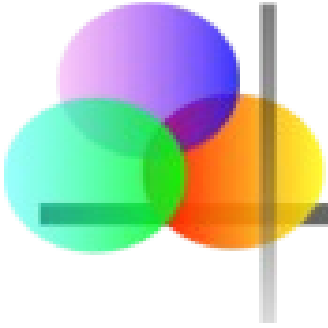
For the Year Ended December 31, 2006

Revenue	1,600,000
Less: Costs and expense	<u>(1,200,000)</u>
Net Income	<u>400,000</u>
Net Income Division :	
Belayab	200,000
Marathon	200,000



Addis /Statement change in equity
For the Year Ended December 31, 2006

	<u>Belay Ab</u>	<u>Marathon</u>	<u>Combined</u>
Investment on January 1	Br320000	Br320000	Br640000
Add: Net Income	<u>200,000</u>	<u>200,000</u>	<u>400,000</u>
Joint venturers'(operator's) capital, Dec31,	Br <u>520,000</u>	Br <u>520,000</u>	Br <u>1,040,000</u>



Addis /Balance Sheet

December 31, 2006

Assets

Current Assets	Br1,280,000
PPE	<u>1,920,000</u>
Total Assets	<u>Br3,200,000</u>

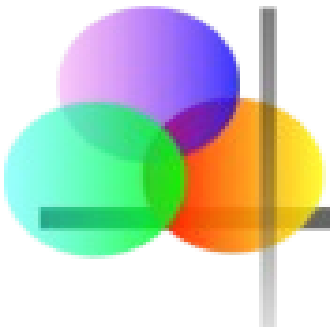
Liabilities & Venturers' Capital

Current Liabilities	Br640,000
Long-Term Liabilities	<u>1,520,000</u>
Total Liabilities	<u>Br 2,160,000</u>

Venturers'(operators) Capital:

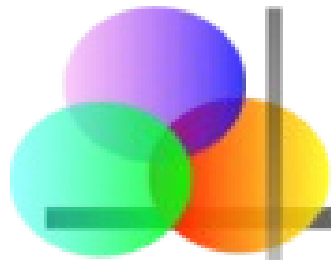
Belayab	Br.520,000	
Marathon	<u>520,000</u>	<u>1,040,000</u>

Total Liabilities & Venturers' Capital **Br3,200,000**



Required:

- a. Record the initial investment made by Belayab on January 1
- b. Record the share of Belayab in Addis profit
- c. Prepare the Financial report for investor(belayab) if,
 - i. Addis tire is a partnership company
 - ii. Addis tire is a plc company



Case1: Addis Tire is Partnership

- *Therefore, IFRS-11- Proportionate consolidation method is used*
- *Two financial reports are prepared: separate and proportionally consolidated.*

To record initial investment:

January 1,2006. Investment in Addis Tire. 320,000

<i>Cash</i>	<i>320,000</i>
-------------	----------------

- ***To record earnings in a joint operation***

Dec, 31,2006 Investment in Addis Tire. 200,000

<i>Investment income</i>	<i>200,000</i>
--------------------------	----------------

- *These two entries are posted and give us the next separate financial statement of Belayab*



1st Report: Belayab separate Financial statements.

Belayab /P &L Statement

For the Year Ended December 31, 2006

Revenue	4,000,000
Investment income	200,000
Less: Costs	<u>(2,200,000)</u>
Net Income	<u>2,000,000</u>

Belay Ab S. Financial Position 12/31/2006	
<i>Assets</i>	
Current Assets	Br1,200,000
Investment in Addis	520,000
PPE	<u>2,080,000</u>
Total Assets	<u>Br3,800,000</u>
<i>Liabilities & owners equity</i>	
Current Liabilities	Br500,000
Long-Term Liabilities	<u>1,800,000</u>
Total Liabilities	<u>2,300,000</u>
Dec31,2006,Capital:	<u>1,500,000</u>
Total Liabilities & owners equity	<u>Br 3,800,000</u>

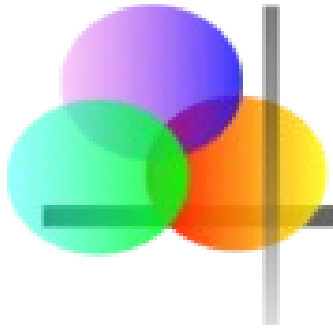
2nd Report: Belayab proportionally consolidated reports



- Belayab (joint operator) account line-by-line its share of assets, liabilities, expenses, and revenues of joint operation(addis tire) as per its ownership rate. However, the investment and investment income account in a separate financial statements are eliminated to avoid double counting.

<i>Dec, 31,2006</i>	<i>Current assets</i>	<i>640,000</i>	
	<i>Other assets</i>	<i>960,000</i>	
	<i>Investment income</i>	<i>200,000</i>	
	<i>Costs and expenses</i>	<i>600,000</i>	
	<i>Current liabilities</i>		<i>320,000</i>
	<i>Long-term Debt</i>		<i>760,000</i>
	<i>Revenue</i>		<i>800,000</i>
	<i>Investment in Addis.</i>		<i>520,000</i>

2nd Report: Belayab proportionally consolidated reports Cont...



- Therefore, once separate FS are prepared for internal reporting purpose , proportionally consolidated reports are prepared for external reporting purpose as shown in the next slide.

Working paper for combined financial report

	Belayab company	share in Addis (50%)	Elimination	Total
P & L statement				
Sales	4,000,000	800,000		4,800,000
Investment income	200,000		(200,000)	0
Costs and expense	(2,200,000)	(600,000)		(2,800,000)
Net income	<u>2,000,000</u>	200,000	(200,000)	<u>2,000,000</u>
S. Financial Position				
Current assets	1,280,000	640,000		1,920,000
Investment in Addis	520,000		(520,000)	0
PPE	2,000,000	960,000		2,960,000
Total assets	<u>3,800,000</u>	<u>1,600,000</u>		<u>4,880,000</u>
Current liability	500,000	320,000		820,000
Long term liability	1,800,000	760,000		2,560,000
Dec31,06,capital	1,500,000	520,000	(520,000)	1,500,000
Total lia & capital	<u>3,800,000</u>	1,600,000		<u>4,880,000</u> ³³

- ## Entries

- January 1, 2006. Investment in **Addis** 320,000

- ***To record earnings from investment***

<i>Investment income</i>	<i>200,000</i>
--------------------------	----------------

- *Belayab interest in the joint venture is presented **using single account called Investment in Addis Tire**, no line by lines consolidation .*

Belayab , Financial Statements

Income statement

Sales	4,000,000
Investment income	200,000
Costs and expenses	(2,200,000)
Net income	<u>2,000,000</u>

Balance sheet

Current assets	1,280,000
Investment in Addis	520,000
Other assets	<u>2,000,000</u>
Total assets	<u>3,800,000</u>
Current liability	500,000
Long term liability	1,800,000
Dec31,06,capital	1,500,000
Total lia & capital	<u>3,800,000</u>

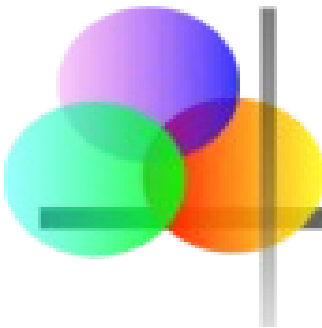
Comparison(Belayab)

Addis is JO

Addis is JV

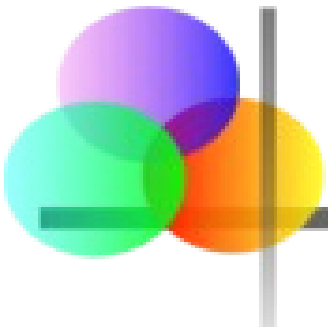
Sales	4,800,000
Investment income	0
Costs and expense	(2,800,000)
Net income	<u>2,000,000</u>
Balance sheet	
Current assets	1,920,000
Investment in Addis	0
Other assets	2,960,000
Total assets	<u>4,880,000</u>
Current liability	820,000
Long term liability	2,560,000
Dec31,06,capital	1,500,000
Total lia & capital	<u>4,880,000</u>

Sales	4,000,000
Investment income	200,000
Costs and expense	(2,200,000)
Net income	<u>2,000,000</u>
Balance sheet	
Current assets	1,280,000
Investment in Addis	520,000
Other assets	2,000,000
Total assets	<u>3,800,000</u>
Current liability	500,000
Long term liability	1,800,000
Dec31,06,capital	1,500,000
Total lia & capital	<u>3,800,000</u>



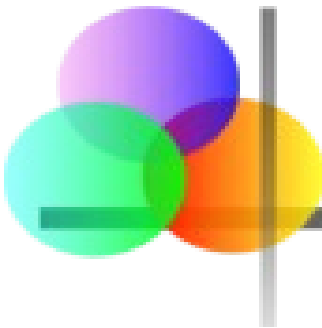
Parties in a joint arrangement but doesn't have joint control

- A party that participates in, but does not have joint control over a joint venture is required to account for its interest in the arrangement in accordance:
 - With IFRS 9 **financial instruments** if it has no significant influence, **or**
 - In accordance with IAS 28(equity method) if it has significant influence over the joint venture.



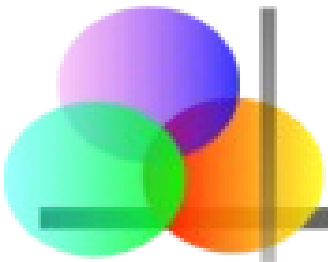
Discussion

- Compare commercial code JV /JO with IFRS definition and classification.



Investments in Associates(IAS 28)

- **Associate:** is an entity over which an investor has significant influence and that is not a subsidiary or a joint venture.
- **Significant influence:** is **the power to participate** in the operating and financial policy decisions of investee; but is not control or joint control over those policies.
- IAS 28 states that significant influence is presumed to exist if an entity holds 20% -50% of an entity's voting power, **unless it can be clearly demonstrated this is not the case.**

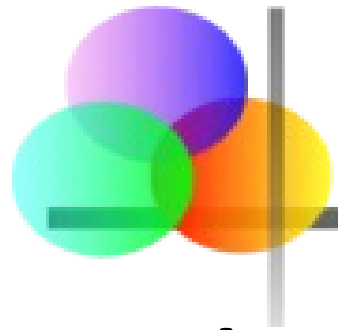


Example

- ❖ **Belay Ab Motors** has acquired 25,000 of the 100,000 ,Br 1 ordinary shares of **Lifan Motors** for Br 60,000 on 1 January 20X8. In the year to 31 December 20X8, **Lifan** earns profits after tax of Br 24,000, from which it pays a dividend of Br 6,000.the necessary journal entries recorded in the book of investor Belayab Motors under equity method will be as follows:

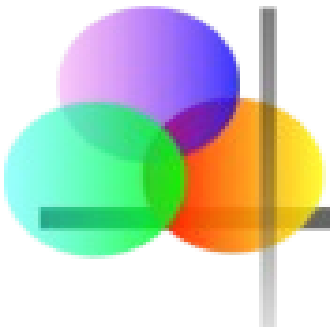
<i>January1, 20X8.</i>	<i>Investment in associates</i>	<i>60,000</i>	
	<i>cash</i>		<i>60,000</i>
<i>December 31,20X8</i>	<i>Investment in associates</i>	<i>6,000</i>	
	<i>Investment Income</i>		<i>6,000</i>
	<i>Cash</i>	<i>1,500</i>	
	<i>Investment in associates</i>		<i>1,500</i>

- The asset 'Investment in associates' is then stated at Br 64,500, being cost plus the group share of post-acquisition retained profits.



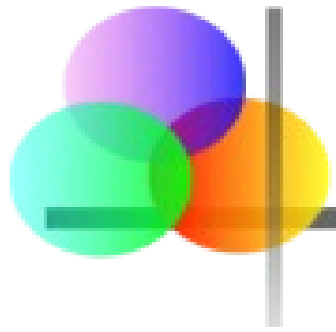
Equity Method cont... **loss**

- **loss:** An associate may incur a substantial losses and the investor's share of the loss may equals or exceeds its investment in the associate.
- If so, the investor immediately stops recognizing its share of any further losses.
- If the associate subsequently reports profits, then the investor resumes its recognition of the associate's profits, but only after its share of the profits equals the share of losses that it previously did not recognize.



Equity Method cont...

- **Loss of significant influence or joint control:** An investor discontinues equity accounting from the date that it ceases to have significant influence over an associate and accounts for the investment in accordance with IFRS9(financial instrument) prospectively.



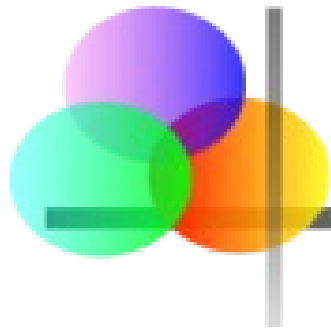
Presentation and Disclosure

Presentation

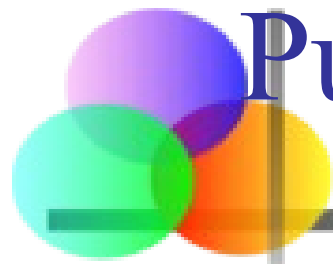
- ❖ Investments in associates and joint ventures are classified as non-current assets.
- ❖ The investor's share of investee's profit /loss is recognized in its profit /loss and
- ❖ it's share in investee's other comprehensive income is included in the investor's other comprehensive income

Investment Accounting-Summery

Description	IFRS-9	IFRS-10	IFRS-11	IAS-28
Name of the standard	Financial Instrument	Consolidated Financial Statement	Joint Arrangement	Investment in associate & Joint venture
Accounting Method	•Account for Investment at fair value •Report gain /loss from change in fair value in P/L or OCI •Dividend by investee is reported as income •No Consolidation, only separate F.S	•Equity method + consolidation • Investment is initially recorded at cost and subsequently adjusted for profit /loss of subsidiary and dividend of subsidiary •Two reports are produced(separate and Consolidated Financial Statement)	•Equity method + proportional consolidation • Investment is initially recorded at cost and subsequently adjusted for profit /loss of subsidiary and dividend of subsidiary •Two reports are produced(separate and proportionally Consolidated Financial	•Equity method of accounting for investment •No Consolidation, only separate F.S



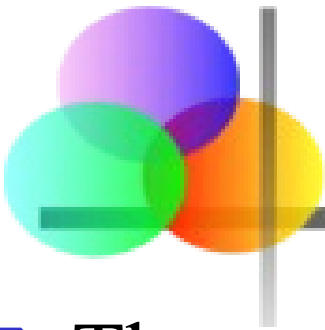
■ THE END



Public Enterprises In Ethiopian Context.

- **Public Enterprise:** a wholly state owned public enterprise established pursuant to Proc. No. 25/1992 to carry on for gain manufacturing, distribution, service rendering or other economic and related activities.
- ✓ **Total Assets:** all immovable and movable property, receivables, cash and bank balances of the enterprise including intangible assets, deferred charges .
- ✓ **Net Total assets:** total assets less current liabilities, long-term debts, deferred income and other liabilities.
- ✓ **Capital:** the original value of the net total assets assigned to the enterprise by the state at the time of its establishment or any time thereafter.
- ✓ The paid up capital shall not be less than 25 % of the authorized capital at the time of establishment.

Public Enterprises Cont...



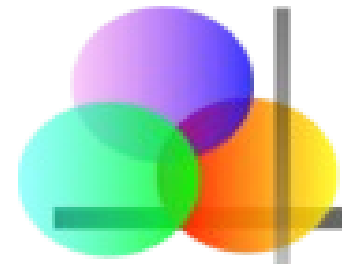
- The authorized capital of the enterprise shall be fully paid up within 5 years from the date of its establishment.
- **Net Profit:** any excess of all revenue and other receipts over costs and operating expenses properly attributable to the operations of the financial year including depreciation, interest and taxes.
- **State Dividend:** remaining balance after deduction of the transfers to the **legal reserve fund** and **other reserve** fund from the net profits.
- **Legal reserve:** 5% of net income of the financial year.

Accounting for PE



- Follows the generally accepted accounting principles
- Financial year is determined by the supervising authority
- Accounts should be closed at least once a year – within three months following the end of the financial year.
- Legal reserve 5% of net profits until such reserve equals 20% of the capital of the enterprise.
- The legal reserve is used to cover losses and unforeseeable expenses and liabilities
- Other reserve funds may be established with the approval of the supervisory authority

Formation of PE



- **Example:** The government formed XYZ Enterprise with Authorized Capital of Br 50,000,000 in accordance with the requirements of Proc. No. 25/1992 with investment of cash & equipment at fair value of Br.700,000 & Br 15,000,000, respectively. The journal entry would be:

<i>Cash</i>	<i>15,000,000</i>
<i>Equipment (fair value)</i>	<i>700,000</i>
<i>State Capital</i>	<i>15,700,000</i>

Operation of PE

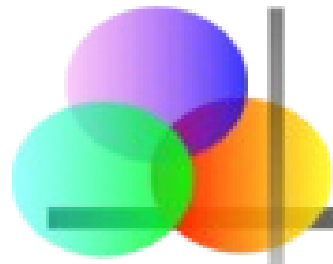


■ Example: Given the following information for XYZ Enterprise for the year ended December 31, 2006 after operating for a year.

XYZ Enterprise/Trial Balance
Dec. 31, 2006 (Br '000)

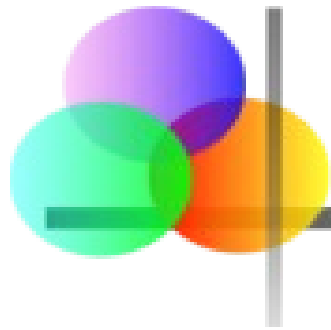
Cash	Br 10,050	
Accounts Receivable	2,600	
Property plant and Equipment	2,200	
Accumulated Depreciation		Br 50
Accounts Payable		150
Notes Payable		200
State Capital		15,700
Sales		5,000
Operating Expenses	2,950	
Purchases	3,300	
Total	21,100	21,100

- Ending inventory is Br 1,600,000.
- The board of directors decided to establish other reserves of Br 100,000 from the net income of the year



Required: Assuming Profit tax rate is 35%, Prepare :

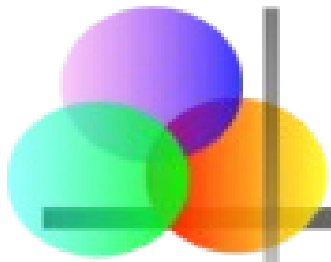
1. The income statement for XYZ for the year ended dec. 31, 2006;
2. Journal entries for transfer of net income to legal reserve and other reserves, and to recognize the state dividend payable;
3. The balance sheet at dec. 31, 2006.



XYZ Enterprise/ Income Statement

For the Year ended Dec. 31, 2006('000 birr)

Sales	Br 5,000
Cost of Goods Sold	(<u>1,700</u>)
Gross profit	3,300
Operating Expenses	<u>2,950</u>
Income before tax	350
Income tax expense (35%)	(<u>122.5</u>)
Net Income	<u>227.5</u>



Journal entries:

Income tax expense	122,500	
Income tax Payable		122,500
<i>(to accrue profit tax expense)</i>		

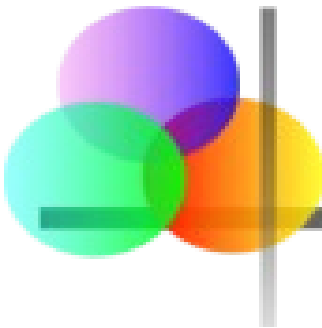
Income summary	227,500	
Legal Reserve (5% x 227,500)		11,400
Retained Earnings	100,000	
State Dividend Payable	116,100	

(to close profit of the period to respective accounts)

XYZ Enterprise
Balance Sheet
Dec. 31, 2006



Assets		
Cash		10,050
Accounts Receivable		2,600
Inventory		1,600
Property, Plant and equipment	2,200	
Less: Accumulated Depreciation	<u>(50)</u>	<u>2150</u>
Total assets		<u>16,400</u>
Liabilities and Capital		
Accounts Payable		150
Income tax payable	122.5	
Notes Payable		200
State Dividend Payable		116.1
State Capital		15,700
Legal Reserve		11.4
Other Reserves		<u>100</u>
Total Liabilities and Capital		<u>16,400</u>



PRIVATIZATION OF PE (PROC. NO. 146/1998)

- Privatization" means the transfer, through sale of an enterprise or its unit or asset or government share holdings in a share company to private ownership .

Balance Sheet

Dec. 31, 2006 (Br '000)



Assets

	<u>Cost</u>	<u>Market value</u>
Cash	10,050	10,050
Accounts Receivable	2,600	2000
Inventory	1,600	2000
Property, Plant and equipment (net)	<u>2150</u>	<u>3000</u>
Total assets	<u>16,400</u>	17,050

Liabilities and Capital

Accounts Payable	150	
Income tax payable	122.5	
Notes Payable	200	
State Dividend Payable	116.1	
State Capital	15,700	
Legal Reserve	11.4	
Other Reserves	<u>100</u>	
Total Liabilities and Capital	<u>16400</u>	

An individual investor has paid Br 20,000,000 to acquire the XYZ Company on Dec. 31, 2006

Required: Journalize the transaction.(Privatization)

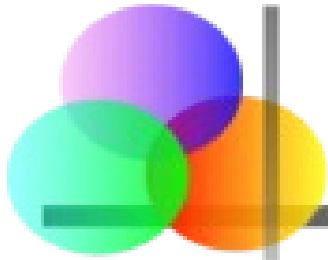
Case 1: Continuing with the books of XYZ

<i>Inventory</i>	400	
<i>Property, Plant and equipment (net)</i>	850	
<i>Goodwill (20,000-16,461.40)</i>	3538.6	
<i>State Capital</i>	15,700	
<i>Legal Reserve</i>	11.4	
<i>Retained Earnings</i>	100	
<i>Accounts Receivable</i>		600
<i>X, Capital</i>		20,000

Case 2: New books

<i>Cash</i>	10,050	
<i>Accounts Receivable</i>	2000	
<i>Inventory</i>	2000	
<i>Property, Plant and equipment (net)</i>	3000	
<i>Goodwill</i>	3538.6	
<i>Accounts Payable</i>		150
<i>Income tax payable</i>		122.5
<i>Notes Payable</i>		200
<i>State Dividend Payable</i>		116.1
<i>X, Capital</i>		20,000

DISSOLUTION AND WINDING UP



- The process involves:
 - Sale of assets
 - Payment of creditors (if the assets of the enterprise are not sufficient to pay the debts, and if the authorized capital is not fully paid up, the liquidator can ask for full payment of the authorized capital)
 - Payment of remaining assets to the government